

INTERNATIONAL BUSINESS MACHINES CORPORATION AND SUBSIDIARY COMPANIES
VALUATION AND QUALIFYING ACCOUNTS AND RESERVES
For the Years Ended December 31:
(Dollars in Millions)

Description	Balance at Beginning of Period	Additions/ (Deductions)*	Write-offs	Other**	Balance at End of Period
Allowance For Credit Losses					
2018					
—Current	\$ 594	\$ 69	\$ (62)	\$ (11)	\$ 591
—Noncurrent	\$ 74	\$ (3)	\$ (2)	\$ (20)	\$ 48
2017					
—Current	\$ 675	\$ 65	\$ (157)	\$ 11	\$ 594
—Noncurrent	\$ 101	\$ (10)	\$ (42)	\$ 26	\$ 74
2016					
—Current	\$ 909	\$ 87	\$ (307)	\$ (13)	\$ 675
—Noncurrent	\$ 118	\$ (2)	\$ (7)	\$ (8)	\$ 101
Allowance For Inventory Losses					
2018	\$ 574	\$ 136	\$ (162)	\$ (19)	\$ 530
2017	\$ 525	\$ 164	\$ (139)	\$ 23	\$ 574
2016	\$ 483	\$ 178	\$ (150)	\$ 14	\$ 525
Revenue Based Provisions					
2018	\$ 451	\$ 1,124	\$ (1,059)	\$ (15)	\$ 500
2017	\$ 481	\$ 1,292	\$ (1,342)	\$ 20	\$ 451
2016	\$ 505	\$ 1,377	\$ (1,392)	\$ (9)	\$ 481

* Additions for Allowance for Credit Losses and Allowance for Inventory Losses are charged to expense and cost accounts, respectively, while Revenue Based Provisions are charged to revenue accounts. Deductions represent the reversal of such charges.

** Primarily comprises currency translation adjustments.